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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

July 12, 2017

Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
-0.2%

Key Takeaways

» *The Chicago Board Options Exchange (CBOE) Volatility Index (VIX) has been getting quite a bit of media and investor attention lately as it continues to hover at levels well below the historical average.*

» *This indicator, in our opinion, is not a good predictor of what might happen down the road. We believe the VIX is more of a coincident rather than a leading indicator. We find this indicator of little use when trying to gauge future stock market activity.*

The VIX is not a Leading Indicator

Given the lack of stock market volatility in recent months, the VIX has received quite a bit of attention. Often called the "fear gauge," the VIX is frequently quoted in the financial media whenever stock market volatility increases, especially downside volatility as the market pulls back.

But lately, the VIX has been in the news because it is so low. Recent readings have been near 10.0 versus a 25-year average of 19.6. Some believe the current level reflects too much "complacency" on the part of investors. The daily negative correlation between this index and the S&P 500 has proven to be rather high over time. According to CBOE historical data, when the S&P 500 trades higher on a daily basis, the VIX has fallen more than 82 percent of the time.

The CBOE calculates the VIX by looking at a series of options on the S&P 500 that expire 24 to 36 days in the future. This exercise is intended to determine, based on the price of this series, how much the S&P 500 is expected to fluctuate in the coming 30 days.

But history also helps investors understand the limitations of using the VIX as a gauge of where the market might be going. In this strategist's opinion, based on historical analysis, the VIX is a coincident, not a leading, indicator. In other words, the VIX is a gauge of how the market feels right now—at this instant. When the S&P 500 is trading meaningfully to the downside on any given day or series of days, the VIX typically jumps higher in response.

History also shows that when the volatile period ends, the VIX drops back quickly. This index tends to fall quickly on equity rallies or when the market is locked in a range over the course of several weeks. Investors perceive the very near term as less risky than previously thought.

In closing, in our opinion, the VIX has limited use. It is not forward-looking. At best it is a coincident indicator rather than one that is leading. The biggest moves (up) in the VIX happen on days where the S&P 500 sells off aggressively. In the current market environment, where the major indices have crawled to new highs over a period of months characterized by narrow ranges and low trading volumes, one would expect the volatility portion of an option's price to be low. The recent level of the VIX simply reflects our current environment.

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Definitions

Chicago Board Options Exchange Volatility Index (VIX) reflects a market estimate of future volatility, based on the weighted average of the implied volatilities for a wide range of strikes.

An index is unmanaged and not available for direct investment.

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